

Decision 25-04-016 April 3, 2025

BEFORE THE PUBLIC UTILITIES COMMISSION OF THE STATE OF CALIFORNIA

Application of Southern California Edison Company (U338E) for Authorization to Recover Costs Related to 2019-2020 Drought, 2018-2019 Firestorms, 2019 Earthquakes, 2019 Windstorms, and 2020 COVID-19 Recorded in the Catastrophic Event Memorandum Account and Costs Related to Wildfire Property Insurance Recorded in the Wildfire Expense Memorandum Account.

Application 21-09-019

**DECISION GRANTING COMPENSATION TO
THE UTILITY REFORM NETWORK
FOR SUBSTANTIAL CONTRIBUTION TO DECISION 23-11-089**

Intervenor: The Utility Reform Network ("TURN")	For contribution to Decision (D.) 23-11-089
Claimed: \$14,784.38	Awarded: \$10,931.88
Assigned Commissioner: Alice Reynolds ¹	Assigned ALJ: Hazlyn Fortune

PART I: PROCEDURAL ISSUES

A. Brief description of Decision:	In D.23-11-089, the Commission authorized Southern California Edison's cost recovery request of \$132.148 million, which includes \$127.261 million associated to its Catastrophic Event Memorandum Account (CEMA) subaccounts and \$4.887 million associated with incremental costs for property insurance in relation to Wildfire Expense Memorandum Account (WEMA). Additionally, SCE is authorized to amortize these amounts over a 12-month period.
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¹ Commissioner Alice Reynolds was assigned to this proceeding on June 3, 2024.

B. Intervenor must satisfy intervenor compensation requirements set forth in Pub. Util. Code §§ 1801-1812²:

	Intervenor	CPUC Verification
Timely filing of notice of intent to claim compensation (NOI) (§ 1804(a)):		
1. Date of Prehearing Conference:	11/18/2021	Verified
2. Other specified date for NOI:	N/A	
3. Date NOI filed:	December 17, 2021	Verified
4. Was the NOI timely filed?		Yes
Showing of eligible customer status (§ 1802(b)) or eligible local government entity status (§§ 1802(d), 1802.4):		
5. Based on ALJ ruling issued in proceeding number:	R.20-08-021	Verified
6. Date of ALJ ruling:	December 11, 2020	Verified
7. Based on another CPUC determination (specify):	N/A	
8. Has the Intervenor demonstrated customer status or eligible government entity status?		Yes
Showing of “significant financial hardship” (§ 1802(h) or § 1803.1(b)):		
9. Based on ALJ ruling issued in proceeding number:	R.20-08-021	Verified
10. Date of ALJ ruling:	December 11, 2020	Verified
11. Based on another CPUC determination (specify):	N/A	
12. Has the Intervenor demonstrated significant financial hardship?		Yes
Timely request for compensation (§ 1804(c)):		
13. Identify Final Decision:	D.23-11-089	Verified
14. Date of issuance of Final Order or Decision:	12/8/2023	Verified
15. File date of compensation request:	2/6/2024	Verified
16. Was the request for compensation timely?		Yes

² All statutory references are to California Public Utilities Code unless indicated otherwise.

PART II: SUBSTANTIAL CONTRIBUTION

A. Did the Intervenor substantially contribute to the final decision (*see* § 1802(j), § 1803(a), 1803.1(a) and D.98-04-059):

Intervenor's Claimed Contribution(s)	Specific References to Intervenor's Claimed Contribution(s)	CPUC Discussion
<u>1. Compliance with Res. ESRB-4</u> SCE argued that an independent audit for the costs in this proceeding was not necessary. However, as noted by D.23-11-089, TURN pointed out in its protest and at the PHC that SCE's application, which is stated to be in accordance with Resolution ESRB-4, requires an independent audit for means of accountability and to prevent double recovery. TURN further noted that the Commission determined that if Cal Advocates were to conduct the audit, it would be determined as a satisfactory independent audit. The Commission agreed with TURN that an audit was required pursuant to ESRB-4 and included the audit in the Scoping Memo.	• TURN Protest pp. 4-5. • D.23-11-089, p. 28. • Telephonic Proceeding, Reporter's Transcript Vol. 1, November 30, 2021, pp. 7-8. • Scoping Memo Ruling (January 24, 2022), pp. 2-3.	Verified
<u>2. Affirmative Declaration of Wildfire Costs</u> As noted in D. 23-11-089, during the PHC, TURN expressed their concern regarding SCE's intentions to potentially sidestep D.21-08-024 and recommended that a declaration be required from SCE stating that the utility is not aware of any investigations into whether SCE's equipment or facilities are a potential cause of the ignition of	• D.23-11-089, p. 28. • TURN Opening Brief p. 2.	Noted; <i>see</i> Part III.D CPUC Comments, Disallowances, and Adjustments [1].

[illegible]

Intervenor's Claimed Contribution(s)	Specific References to Intervenor's Claimed Contribution(s)	CPUC Discussion
the ALJ in each proceeding may require such a declaration.		
<u>4. Review of SCE Costs and Audit Results</u> TURN reviewed SCE's application, testimony, and audit results. Even though TURN and Cal Advocates did not identify adjustments after examining SCE's costs associated with CEMA and WEMA, it was important for TURN to review the costs and the audit results to arrive at this conclusion, which was adopted by the Commission.	• Motion of SCE for Admission of Testimony Into the Record as Evidence, p. 5. • TURN-01, p. 3. • D.23-11-089, pp. 27-28.	Verified

B. Duplication of Effort (§ 1801.3(f) and § 1802.5):

	Intervenor's Assertion	CPUC Discussion
a. Was the Public Advocates Office of the Public Utilities Commission (Cal Advocates) a party to the proceeding?	Yes	Verified
b. Were there other parties to the proceeding with positions similar to yours?	No	Verified
c. If so, provide name of other parties:		N/A
d. Intervenor's claim of non-duplication: TURN coordinated with Cal Advocates, including conferring on strategy, issue positions, and others. As a general matter, TURN either offered unique positions in this proceeding, or, where our positions overlapped with Cal Advocates, unique analysis in support or opposition of those positions. For example, TURN was the only party to point out that SCE needed to comply with Res. ESRB-4 and allow for an independent audit to be conducted. As another example, TURN was also the only party to propose that SCE should provide an affirmative declaration stating it is not under investigation for whether its equipment or facilities potentially caused the ignitions in scope of this proceeding and TURN recommended that the Commission consider		Noted

	Intervenor's Assertion	CPUC Discussion
directing SCE to submit such affirmative declarations for future CEMA applications.		
The Commission should find that TURN's participation was efficiently coordinated with the participation of Cal Advocates so as to avoid undue duplication and to ensure that to the extent duplication occurred, it served to supplement, complement, or contribute to the showing of the other intervenor. And consistent with such a finding, the Commission should determine that all of TURN's work is compensable consistent with the conditions set forth in Section 1802.5.		

PART III: REASONABLENESS OF REQUESTED COMPENSATION

A. General Claim of Reasonableness (§ 1801 and § 1806):

	CPUC Discussion
a. Intervenor's claim of cost reasonableness: TURN's request for intervenor compensation seeks an award of approximately \$14,700 as the reasonable cost of our participation in this proceeding. TURN submits that these costs are reasonable in light of the importance of the issues TURN addressed. As noted above, TURN's involvement uniquely ensured that SCE's application complied with Resolution ESRB-4, and TURN's involvement also ensured that SCE provided an affirmative declaration to ensure compliance with D.21-08-024. Furthermore, TURN's involvement provided a review of the audit performed by Cal Advocates to confirm that it was reasonable to not make adjustments to SCE's costs. As such, the Commission should treat this compensation request as it has treated similar past requests with regard to the difficulty of establishing specific monetary benefits associated with TURN's participation (or that of another intervenor). (<i>See, e.g.</i> D.13-12-027, p. 11 (awarding Sierra Club California intervenor compensation for energy storage policy work in R.10-12-007); D.15-07-028, p. 7 (awarding TURN intervenor compensation for energy storage policy work in A.14-02-006 et al.); and D.16-06-027 (awarding TURN	Noted

		CPUC Discussion						
intervenor compensation for energy storage policy work in the first Track of the proceeding.) For these reasons, the Commission should find that TURN's efforts have been productive and the requested amount of compensation is reasonable in light of the benefits achieved through those efforts.								
b. Reasonableness of hours claimed: This Request for Compensation includes around 33 hours of TURN's attorney time, the equivalent of less than one week of full-time work for an individual attorney. TURN's efforts reflected herein resulted in significant contributions to D.23-11-089, detailed above, and encompass the preparation of comments and other filings by TURN. TURN assigned this proceeding to Staff Attorney David Cheng. This request for compensation includes approximately 33 hours of Mr. Cheng's time and 0.25 hours of other TURN experts' time. TURN suggests that the Commission should find that the number of issues addressed by TURN in this proceeding, the time necessary for preparing various pleadings and testimonies, and the time required by evidentiary hearings warrant finding that the hours spent were reasonable. However, should the Commission believe that more information is needed or that a different approach to discussing the reasonableness of the requested hours is warranted here, TURN requests the opportunity to supplement this section of the request.		Noted						
c. Allocation of hours by issue: TURN has allocated all of our attorney and expert time by issue area or activity, as is evident on our attached timesheets (Attachment 2) and in Attachment 3, which shows the allocation of TURN's time included in this request by attorney or expert and issue / activity area. The following codes relate to specific substantive issue and activity areas addressed by TURN. <table border="1"> <thead> <tr> <th>Code</th><th>Description</th><th>Allocation of Time</th></tr> </thead> <tbody> <tr> <td>Prudence</td><td>Work related to prudence. In this case, whether the costs in the proceeding should be excluded or adjusted as a</td><td>60.3%</td></tr> </tbody> </table>		Code	Description	Allocation of Time	Prudence	Work related to prudence. In this case, whether the costs in the proceeding should be excluded or adjusted as a	60.3%	Noted; totals 100.10%.
Code	Description	Allocation of Time						
Prudence	Work related to prudence. In this case, whether the costs in the proceeding should be excluded or adjusted as a	60.3%						

			CPUC Discussion
	result of imprudence (<i>e.g.</i> , wildfire events ignited by SCE equipment)		
GP	Work related to general participation in this proceeding (document review, drafting, case review, and others)	6.9%	
GH	Work related to preparation and participation at the Prehearing Conference and Status Conference	6.1%	
Coord	Work related to coordinating with other parties and intervenors	3.1%	
#	Work related to multiple substantive issue areas that is not easily allocated to specific issues	21.4%	
PD	Work related to the Proposed Decision where not easily allocated to specific issue areas	2.3%	

B. Specific Claim: *

CLAIMED						CPUC AWARD		
ATTORNEY, EXPERT, AND ADVOCATE FEES								
Item	Year	Hours	Rate \$	Basis for Rate*	Total \$	Hours	Rate \$	Total \$
David Cheng, TURN Staff Attorney	2021	16.75	\$425.00	D.22-05-027	\$7,118.75	16.25 [2]	\$425.00	\$6,906.25
David Cheng, TURN Staff Attorney	2022	14.50	\$440.00	D.23-04-022	\$6,380.00	6.50 [1]	\$440.00	\$2,860.00
David Cheng, TURN Staff Attorney	2023	1.25	\$480.00	Res. ALJ-393, 2022 Rate plus 4.5% COLA plus 5% step increase	\$600.00	1.00 [3]	\$480.00 [4]	\$480.00
Robert Finkelstein, TURN Attorney	2021	0.25	\$780.00	D.22-06-018	\$195.00	0.25	\$780.00	\$195.00
Subtotal: \$14,293.75						Subtotal: \$10,441.25		
INTERVENOR COMPENSATION CLAIM PREPARATION **								
Item	Year	Hours	Rate \$	Basis for Rate*	Total \$	Hours	Rate	Total \$
David Cheng, TURN Staff Attorney	2021	0.75	\$212.50	1/2 of 2021 Rate	\$159.38	0.75	\$212.50	\$159.38

CLAIMED						CPUC AWARD		
Reina Yanagiba, Legal Assistant	2024	4	\$50.00	1/2 of 2024 Rate; See Comment 1	\$200.00	4.00	\$50.00 [5]	\$200.00
David Cheng, TURN Staff Attorney	2024	0.5	\$262.50	1/2 of 2024 Rate; See Comment 2	\$131.25	0.50	\$262.50 [4]	\$131.25
Subtotal: \$490.63						Subtotal: \$490.63		
TOTAL REQUEST: \$14,784.38						TOTAL AWARD: \$10,931.88		
*We remind all intervenors that Commission staff may audit the records and books of the intervenors to the extent necessary to verify the basis for the award (§ 1804(d)). Intervenors must make and retain adequate accounting and other documentation to support all claims for intervenor compensation. Intervenors' records should identify specific issues for which it seeks compensation, the actual time spent by each employee or consultant, the applicable hourly rates, fees paid to consultants and any other costs for which compensation was claimed. The records pertaining to an award of compensation shall be retained for at least three years from the date of the final decision making the award. **Travel and Reasonable Claim preparation time are typically compensated at ½ of preparer's normal hourly rate								
ATTORNEY INFORMATION								
Attorney	Date Admitted to CA BAR ³			Member Number		Actions Affecting Eligibility (Yes/No?) If "Yes", attach explanation		
David Cheng	June 2015			303794		No		
Robert Finkelstein	June 1990			146391		No		

C. Attachments Documenting Specific Claim and Comments on Part III⁴:

Attachment or Comment #	Description/Comment
Attachment 1	Certificate of Service
Attachment 2	Timesheets for TURN's Attorneys and Experts
Attachment 3	TURN Hours Allocated by Issue
Comment 1	2024 Hourly Rate for Reina Yanagiba TURN previously requested and provided justification for Ms. Yanagiba's 2023 hourly rate of \$95 in R.18-07-005 (November 6, 2023). TURN does not repeat the showing here for Ms. Yanagiba's 2023 hourly rate.

³ This information may be obtained through the State Bar of California's website at <http://members.calbar.ca.gov/fal/MemberSearch/QuickSearch>.

⁴ Attachments not included in final Decision.

Attachment or Comment #	Description/Comment
	For Ms. Yanagiba's 2024 hourly rate, TURN applies the 4.1% escalation adjustment authorized by Resolution ALJ-393, which yields an hourly rate of \$100.
Comment 2	2024 Hourly Rate for David Cheng For Mr. Cheng's work in 2024, TURN requests that the Commission adjust his 2023 rate in two regards: (1) by applying the 4.1% escalation adjustment authorized by Resolution ALJ-393; and (2) further adjusting Mr. Cheng's hourly rate by 5% to recognize his move from Attorney - Level III (5-10 years) to Attorney - Level IV (10-15 years). In D.08-04-010, the Commission recognized moving to a higher experience tier as one of the circumstances that qualify an intervenor representative for a rate increase, apart from annual COLA adjustments and "step" increases. (D.08-04-010, p. 8). Adjusting Mr. Cheng's proposed 2023 rate of \$480 in both of these regards yields a 2024 rate of \$525. TURN believes Mr. Cheng is eligible to move from Attorney - Level III to Level IV in 2024. However, a comparison between TURN's discussion of Mr. Cheng's experience and the Commission's discussion in D.22-05-027, which adopted Mr. Cheng's initial rate under Res. ALJ-393, makes it difficult to precisely identify where in the Attorney - Level III tier the Commission placed Mr. Cheng in 2021, in terms of years of experience. If the Commission calculates Mr. Cheng's experience as still falling into Level III in 2024, TURN asks that the Commission adjust his rate by applying the (1) 4.1% annual escalation adjustment, and (2) second 5% step increase in the Level III experience tier. Because TURN has requested that the first 5% step increase in Attorney - Level III apply to Mr. Cheng's rate in 2023, a second step increase in 2024 in Attorney - Level III would be Mr. Cheng's second and final step increase in that experience tier. The requested rate of \$525 is well below the maximum 2024 approved rate for an Attorney – Level III (\$583.76) or Level IV (\$695.93), as adjusted by the 2022, 2023, and 2024 escalation rates.

D. CPUC Comments, Disallowances, and Adjustments

Item	Reason
[1] No Substantial Contribution	<u>No Substantial Contribution (8.00 hours):</u> Issue 2: TURN requests compensation for influencing Southern California Edison's (SCE) submission of a declaration. The prehearing conference transcript recorded on September 22, 2022, at 8-9, shows that SCE voluntarily agreed to provide the declaration during the prehearing conference to avoid another issue being added to this proceeding and prevent delays. SCE's submission of the declaration was a cooperative gesture to streamline the process and ensure the proceeding move forward without waiting on further determinations. Issue 3: TURN requests compensation for recommending that declarations be required for all future CEMA applications. D.23-11-089 at 29 declined this recommendation, noting that the ALJ may require a declaration if necessary. Requiring declarations for each CEMA application would be inefficient and unnecessary, as not all proceedings require such detailed level of verification. Implementing such a blanket requirement could create administrative burdens and potentially delay decisions. We therefore disallow all hours dedicated to TURN's claimed contribution associated with their opening and reply brief, as these documents were used as reference for Issues 2 and 3. • Cheng: 8.00 hours
[2] Cheng's 2021 Disallowance	Cheng's 2021 hours are reduced by 0.50 hours for the activity below: <u>Time Claimed Prior to the Proceeding Start Date (0.50 hours):</u> The Commission does not compensate for time spent before the start of proceedings. Therefore, the following hours have been disallowed: • 9/3/2021: Call with SCE to discuss upcoming CEMA filing
[3] Cheng's 2023 Disallowance	Cheng's 2023 hours are reduced by 0.25 hours for the activities below: <u>No Contribution to Decision Making Process (0.25 hours):</u> The following activities did not contribute to the decision-making process and are therefore disallowed:

	• 11/27/2023: Review revised PD
[4] Cheng's 2023 and 2024 Hourly Rate	D.24-02-043 approved a 2023 hourly rate of \$480.00 for Cheng. D.24-06-021 approved a 2024 hourly rate of \$525.00 for Cheng. We apply ½ of Cheng's 2024 hourly rate for an Intervenor Compensation Claim Preparation rate of \$262.50.
[5] Yanagiba's 2024 Hourly Rate	D.24-06-021 approved a 2024 hourly rate of \$100.00 for Yanagiba. We apply ½ of Yanagiba's 2024 hourly rate for an Intervenor Compensation Claim Preparation rate of \$50.00.

PART IV: OPPOSITIONS AND COMMENTS

Within 30 days after service of this Claim, Commission Staff or any other party may file a response to the Claim (*see* § 1804(c))

A. Opposition: Did any party oppose the Claim?	No
B. Comment Period: Was the 30-day comment period waived (<i>see</i> Rule 14.6(c)(6))?	Yes

FINDINGS OF FACT

1. The Utility Reform Network has made a substantial contribution to D.23-11-089.
2. The requested hourly rates for The Utility Reform Network's representatives are comparable to market rates paid to experts and advocates having comparable training and experience and offering similar services.
3. The claimed costs and expenses, as adjusted herein, are reasonable and commensurate with the work performed.
4. The total of reasonable compensation is \$10,931.88.

CONCLUSION OF LAW

1. The Claim, with any adjustment set forth above, satisfies all requirements of Pub. Util. Code §§ 1801-1812.

ORDER

1. The Utility Reform Network is awarded \$10,931.88.
2. Within 30 days of the effective date of this decision, Southern California Edison Company shall pay The Utility Reform Network the total award. Payment of the award shall include compound interest at the rate earned on prime, three-month non-financial commercial paper as reported in Federal Reserve Statistical Release H.15, beginning April 21, 2024, the 75th day after the filing of The Utility Reform Network's request, and continuing until full payment is made.
3. The comment period for today's decision is waived.

This decision is effective today.

Dated April 3, 2025, at San Francisco, California.

ALICE REYNOLDS

President

DARCIE L. HOUCK

JOHN REYNOLDS

KAREN DOUGLAS

Commissioners

Commissioner Matthew Baker
recused himself and did not
participate in the vote of this item.

APPENDIX

Compensation Decision Summary Information

Compensation Decision:	D2504016	Modifies Decision?	No
Contribution Decision(s):	D2311089		
Proceeding(s):	A2109019		
Author:	ALJ Fortune		
Payer(s):	Southern California Edison Company		

Intervenor Information

Intervenor	Date Claim Filed	Amount Requested	Amount Awarded	Multiplier?	Reason Change/ Disallowance
The Utility Reform Network	February 6, 2024	\$14,784.38	\$10,931.88	N/A	See Part III.D CPUC Comments, Disallowances, and Adjustments.

Hourly Fee Information

First Name	Last Name	Attorney, Expert, or Advocate	Hourly Fee Requested	Year Hourly Fee Requested	Hourly Fee Adopted
David	Cheng	Attorney ⁵	\$425	2021	\$425.00
David	Cheng	Attorney ⁵	\$440	2022	\$440.00
David	Cheng	Attorney ⁵	\$480	2023	\$480.00
David	Cheng	Attorney ⁶	\$525	2024	\$525.00
Robert	Finkelstein	Attorney ⁷	\$780	2021	\$780.00
Reina	Yanagiba	Expert ⁸	\$100	2024	\$100.00

(END OF APPENDIX)

⁵ Cheng is classified as an Attorney III.

⁶ Cheng is classified as an Attorney IV.

⁷ Finkelstein is classified as a Legal Director IV.

⁸ Yanagiba is classified as a Paralegal I.